

their investing lives. Over the course of four weeks (February 19 to March 20), markets crashed 34% lower.

If ever there was an opportunity for active investing to shine, this was it.

But that's not what happened. The panic emanated from the active money managers on Wall Street, not the plodders on Main Street. Perhaps the most intriguing indicator of this is the difference between the vehicles used by professionals and those preferred by individual investors.

Consider the three largest S&P 500 index funds in the world: State Street's SPDR S&P 500 ETF Trust or Spyder (SPY), Blackrock's iShares Core S&P 500 ETF (IVV), and Vanguard's S&P 500 ETF (VOO). State Street's Spyder is arguably the choice of professionals; it was the first major index ETF and the most liquid. Registered investment advisors and individual investors prefer BlackRock and Vanguard's offerings. Note these funds all invest in the exact same thing; they are simply different ETF wrappers.

During the pandemic sell-off, BlackRock and Vanguard customers were net buyers every single day.<sup>359</sup> At the same time, State Street's customers were sellers.

In other words, during the sell-off, Wall Street pros panicked and sold while moms and pops stayed calm and bought.<sup>360</sup> Some of this is attributable to different timelines between investors and traders, or between short term and long term. But I can't help but think that some of this is explained by psychology: The professionals are the ones whose bonuses and perhaps even their jobs are on the line. Retail investors looked to take advantage of a price drop.

The data from Vanguard Group confirmed this phenomenon. According to the firm's measures of money flows, equities net gained on every day of February and the first week of March 2020.

This is very similar to what former Vanguard chairman and chief executive officer William McNabb observed during the GFC: The pros sold and the amateurs bought.<sup>361</sup>